

Korea Exposure Constants

Middle East Daily Briefing

Standing reference for South Korea's structural exposure to the Middle East, so daily briefs cite consistent baseline numbers instead of re-deriving them. Cite this file's values with their as-of dates; when a brief finds a materially updated figure from a reliable source, update this table (and the PDF) and note the change in that day's brief.

Last updated: August 14, 2026

Aug 14 addition: Lloyd's List Intelligence reports Yanbu crude exports to the four main Asian buyers absorbing the Red Sea workaround, India, Japan, China and South Korea, have surged to roughly 4 million barrels a day, up from under 1 million bpd in the same period a year earlier, as VLCCs increasingly reduce cargo at load or partially discharge at Egypt's Ain Sukhna to meet Suez Canal draught limits before topping up via the Sumed pipeline. This is the first specific volume figure this file has recorded for the workaround's actual scale rather than just its existence, and confirms the route has become a structural, high-volume artery rather than a marginal contingency measure. See brief_2026-08-14 §3.1.

Aug 13 addition: The Bab el-Mandeb leg of Korea's Yanbu Red Sea workaround absorbed the war's first double-tap strike: Houthi forces hit the cargo ship Tihamah, then struck the rescue operation itself minutes later, killing six (4 crew, 2 Yemeni rescuers) and wounding 10, the campaign's first fatal attack on commercial shipping since the war began. Pakistan and Indonesia both formally condemned the strike within hours. Treat this as a step change in the corridor's risk profile, not just a further data point on its frequency: a stricken vessel's own rescue operation is now demonstrably a target, which route changes alone cannot hedge against. See brief_2026-08-13 §1.1, §3.1.

Aug 12 addition: KNOC data for May to July 2026 shows Korea's crude-source mix has structurally shifted rather than just temporarily diversified: the non-Middle East share reached 51.5% (up 19.6 points from 31.9% a year earlier) while the Middle East share fell from 69.1% to 48.5%, per Asia Business Daily. This is the first time this file has recorded the non-Middle East share crossing 50%, consistent with the government's stated strategy of prioritizing US, Central/South American and African crude, and worth treating as the new working baseline rather than a war-driven anomaly that reverts once Hormuz normalizes. See brief_2026-08-12 §3.1.

Aug 10 addition: Yemen's widening war now threatens Korea's Red Sea workaround from both ends of the corridor rather than one. Houthis struck Saudi Aramco's Jazan refinery (already mid-recovery from a July 27 attack) and separately bombed Mokha, a Yemeni government Red Sea port along the same Bab el-Mandeb route Korean-bound Yanbu cargoes transit, killing 7 and wounding 35; treat both the Saudi loading side and the Bab el-Mandeb transit side of the workaround as live risk rather than only the strait itself. Separately, three Hormuz-deal indicators this ledger tracked toward an August 10 deadline (a Kharg Island strike, a public Iran-Oman mechanism, US acceptance of its terms) all lapsed unresolved the same day an Iranian missile struck a UAE ADNOC tanker in the strait, so Korean refiners and KNOC still have no concrete, US accepted transit framework to plan around a full week after Iran's foreign minister first called talks "final stages." See brief_2026-08-10 §1.2, §1.3, §3.2.

Aug 9 addition: Two structural shifts this week bear on Korea's risk model even though neither has a direct Korea clause. First, Saudi Arabia, Turkey and Pakistan signed the Mecca Joint Defence Agreement (Aug 7), a NATO Article 5 style mutual-defense pact putting a nuclear-armed state inside a formal collective-defense structure with one of Korea's largest crude suppliers; any future Saudi-directed crisis now carries a wider set of formal allies whose own responses Korea would need to track. Second, Yemen's government forces abandoned "calibrated restraint" for their own multi-axis counteroffensive against Houthi positions (Aug 8), a shift from a Houthi-only front to an active two-sided war that the UN's Hans Grundberg called the highest conflict risk since the 2022 truce; treat the Red

Sea/Yanbu corridor's risk premium as trending toward structural rather than episodic. See brief_2026-08-09 §1.2, §1.3, §3.2.

Aug 6 addition: MOTIE extended the strategic reserve swap program from its original April-May window through August, citing continued uncertainty on Hormuz normalization timing; roughly 21 million barrels have been swapped to date and are being repaid in stages, the first concrete throughput figure for an instrument this file previously flagged as untested at scale. See brief_2026-08-06 §3.1.

Jul 31 addition: The war crossed a new threshold: CENTCOM struck Iranian territory directly for the first time since the pause collapsed, a "heavy wave" hitting dozens of IRGC targets across six provinces, roughly twice the scale of the prior bombardment, and Iran retaliated against Jordan (intercepted) and a Chinese company's building in Kuwait (one worker killed), the first casualty tied to Chinese interests in the war. Despite the escalation, Brent eased to \$88.93 and Hormuz traffic held at 14 crossings; Qatar sent its first Ras Laffan LNG cargo through the strait in 19 days, the first concrete evidence the LNG freeze can break without a ceasefire. Treat Korean firms and personnel in Gulf host states, not just Iran-adjacent ones, as sitting inside the same exposure category the Kuwait strike just demonstrated; see brief_2026-07-31 §1.3, §3.2.

Jul 30 addition: The mutual US-Iran halt this file's Jul 29 update assumed was holding collapsed within two days: Iran's IRGC fired ballistic missiles toward a US base in Jordan and struck three Hormuz tankers, and the US and Saudi Arabia answered with the war's first joint strikes inside Iraq (20+ militia fighters killed), explicitly linked by Saudi Arabia's MoD to the Jul 27 Abqaiq/Jazan/Yanbu attacks. Brent reversed its entire two-day sub-\$90 decline in one session (+7.9% to \$90.74). Treat the "sub-\$90 ceiling of calm" and the "immediate standby" reserve-swap posture as live questions again rather than settled readings; see brief_2026-07-30 §2.1, §3.2.

Jul 29 addition: Satellite imagery (Bloomberg/Sentinel-2, NASA FIRMS) confirmed real fire damage at Abqaiq from the Jul 27 raid, upgrading the prior "unconfirmed" read; Aramco shut the 400,000 bpd Jazan refinery (tentative restart ~Aug 15, per a Reuters-cited IIR note). Yanbu crude loadings, the sole outlet for Korea's entire Red Sea workaround, are running roughly a third to 40% below their Jul 19 run rate (Kpler via Baird Maritime), the first measurable supply-side stress on the corridor itself rather than just its risk premium.

Jul 28 addition: MOTIE held a crude supply review with refiners and shippers on Jul 27, convened explicitly over Yanbu and Red Sea route risk, chaired by Industrial Resources Security Officer Yang Ki-wook. Reaffirmed July-August intake at 100%+ of the year-earlier volume and September at 90%+, reviewed emergency transport and import plans, and put the strategic reserve swap on immediate standby. No suspension or diversion of Yanbu loadings announced.

Jul 20 additions: Red Sea detour count updated to 15 tankers (MOF, Jul 19). MOFA posture: emergency headquarters/missions meeting Jul 19 (Second Vice Minister Kim Jina, 17 missions) urged short-stay nationals to depart the Middle East; Level 3 (departure recommendation) advisories in force for most Middle East states since Mar 8.

Energy Import Dependence

Constant	Value	As of	Source / basis
Crude oil imports transiting Hormuz	~70% of total crude imports	Jul 2026	CSIS, Seoul Economic Daily
LNG imports from the Middle East	~36% (roughly one third)	Jul 2026	Seoul Economic Daily
Largest LNG supplier exposure	Qatar (Ras Laffan loadings)	Jul 2026	Brief 2026-07-14; Kpler via press
Helium from Qatar (semiconductor input)	~65% of Korean imports	Jul 2026	Brief 2026-07-14; compounded by China export halt

Crisis Mitigation Measures in Effect

Measure	Value	As of	Source / basis
Non-Hormuz crude secured (Kazakhstan, Oman, Saudi routes)	~273 million barrels, delivery through end 2026 (~3 months of consumption)	Jul 2026	Presidential chief of staff via Asharq Al-Awsat, OilPrice
Non-Hormuz naphtha secured	Up to 2.1 million tons	Apr 2026	Bloomberg
Naphtha export ban	In effect; naphtha designated an economic security item	Mar–Jul 2026	UPI, CSIS
Strategic reserve swap	MOTIE commitment (Jul 27) to “immediate implementation of the strategic reserve swap” if a crisis materialises; program extended through August (from its original Apr-May window); ~21 million barrels swapped to date, being repaid in stages	Aug 2, 2026	MOTIE (Yang Ki-wook) via Hankyung, Aju Business Daily, ZDNet Korea, Herald Corp
Strategic reserve release	22.5 million barrels via IEA coordination	Jun–Jul 2026	CSIS
Strategic reserve coverage remaining	~26 days of actual consumption (estimate)	Jul 2026	CSIS; treat as estimate, Medium confidence
Supplementary budget	~\$17 billion passed	Jul 2026	CSIS
Refiners’ joint task force	Four major refiners coordinating supply	Mar 2026	UPI
July–August crude procurement	110%+ of prior-year volume secured (revised up from 100%+ on Jul 21); MOTIE holding government reserve release in hand for further deterioration	Jul 21, 2026	MOTIE announcement via Herald Business, Youth Daily; earlier MOTIE emergency supply meeting via Asia Business Daily; S&P Global
Red Sea detour routing for crude	15 Korean tankers to date have routed crude via the Red Sea to avoid Hormuz (15th confirmed Jul 19 by MOF; loadings at Yanbu, Saudi Arabia); shipping companies advised against new Hormuz entries; government calls the route “the most realistic option for the time being”. NOTE: this workaround transits Bab el-Mandeb and is directly exposed to a Houthi closure	Jul 2026	MOF via MBC, Seoul Shinmun (Jul 19); Korea Times, KJD; MOTIE via Asia Business Daily; S&P Global
September crude procurement	~90% secured as of Jul 21 (up from 76% on Jul 14); MOTIE states supply stable through September while flagging Red Sea blockade risk and reviewing alternative routes	Jul 21, 2026	MOTIE via Herald Business, Youth Daily; Seoul Economic Daily (Jul 14 baseline)
LNG cargo swaps	KOGAS seeking Atlantic FOB for Pacific DES swaps to cover July cargoes	Jul 2026	Argus
Nuclear restarts	Accelerated approvals	Jun 2026	CSIS

Corporate and Physical Exposure

Constant	Value	As of	Source / basis
Refiner ownership structure	SK Energy (domestic); S-Oil (Saudi Aramco majority ~63%); GS Caltex (Chevron 50% JV); HD Hyundai Oilbank (Aramco ~17% stake)	2026	Public filings; BISI. Three of four have US or Saudi ownership stakes, which constrains independent dealing with Iran
Barakah nuclear plant (UAE)	KEPCO-led consortium; 4 APR-1400 reactors (~5.6 GW); Korean staff on site; Korea's largest single overseas energy asset	2026	Public record
Korean nationals in the UAE	~10,000+ (estimate)	Jul 2026	Brief 2026-07-15; Low confidence, verify with MOFA figures
Korean nationals in other Gulf states	~1,000+ (estimate)	Jul 2026	Brief 2026-07-14; Low confidence, verify with MOFA figures
Construction/energy services backlog	Significant contracts in Kuwait, Bahrain, UAE, Saudi Arabia	Jul 2026	Briefs 2026-07-14/15; quantify when a reliable backlog figure appears

Financial Reference Points

Reference	Value	As of	Source / basis
Won first broke ₩1,500/USD	March 2026 (first time since 2009 crisis)	Mar 2026	Korea Times
Won crisis range since March	~₩1,490–1,530/USD	Mar–Jul 2026	KED Global, Businesskorea
KOSPI circuit breakers	7 triggered in 2026 through Jul 13 (Jul 13: -9.95% to 6,806.93)	Jul 2026	BigGo Finance, Korea Times
Monitoring thresholds in use	Won ₩1,500 line; Hormuz transits 20/day (binding) vs 30/day (recovery); Qatari LNG loadings -15% w/w	Jul 2026	Brief indicator series
BOK base rate	2.75% after +25bp on Jul 16, 2026 — first hike since Jan 2023, unanimous, further hikes signaled; statement cites Middle East oil and won weakness (June CPI 3.2%)	Jul 2026	BOK via Bloomberg, CNBC, Korea Herald

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